

“We are focussed on accelerating our growth trajectory with a strategic approach to capital expenditure, capacity expansion, and market penetration. We are poised for significant scaling over the next few years,” Rakshit Hargave, CEO of Birla Opus Paints, tells *BT*. The company has set itself an ambitious target of reaching ₹10,000 crore in revenue within three years of full-scale operations. “It reflects the ambition and scale of our vision, and we are committed to delivering the biggest launch by any paint company globally. Our target capacity of 1,332 MLPA will position us as one of the largest players in the industry,” says Hargave.

The investment commitment for the foray is ₹10,000 crore, of which around ₹8,470 crore, or 85%, has been earmarked for capex spend. “With this investment, we are positioning ourselves to become the No. 2 brand in the Indian decorative paints sector, a target that is both ambitious and achievable,” Hargave adds.

The growth in capacity will need to be augmented through stronger distribution. According to Hargave, Birla Opus is “rapidly expanding its market reach too,” having already established a presence in over 4,300 towns with a road map to reach 6,000 by the end of the financial year.

The aim is to build the second-largest dealer network within the first year of operations and continue engaging with various touch points in the ecosystem. “We will also increase our network of depots to over 150 by the end of this year. Our goal is to have a strong presence in every city, particularly those with a population over one lakh (100,000), and to ensure the availability of our products across all corners of the country.”

Birla Opus’ entry has shaken up the competition. The largest player, Asian Paints, which accounts for about half the market, has had a very challenging couple of quarters.

THE PAINT SHAKE-UP



Within months of venturing into the decorative paints market, Birla Opus has emerged as one of the largest players



The Aditya Birla Group company has rapidly expanded its production capacity to 866 million litres per annum (MLPA)



With a fifth facility on the cards, it plans to scale annual production to 1,332 MLPA



Competitors like Asian Paints and Berger Paints are feeling the heat

Analysts tracking the sector at Geojit Financial Services say the combination of a muted demand scenario and an aggressive Birla Opus have been the key reasons. “Due to increasing competition intensity with the entry of the new player, the overall industry may experience a shift in cost structure and market share,” they said in a recent report.

Asian Paints reported faltering volume offtake in the September quarter for the first time in over a decade, not counting the lockdown during the pandemic. In the July-September quarter, its net profit plunged 42% year-on-year to ₹695 crore. Revenue declined 5.3% to ₹8,003 crore. In the last year, the stock has dipped over 25%—it fell 15% just between early November and December.

KR Choksey Research, too, has pointed towards margin headwinds from heightened competitive intensity, which is expected to put pressure on earnings despite revenue growth. It expects Asian Paints’ earnings to remain at “lower-than-expected levels in the near term”.

Abhijit Roy, CEO of Berger Paints, the second-largest player, told investors at a recent post-earnings call that Birla Opus has installed a large number of machines and made persistent efforts in terms of wooing customers and dealers. “We have lost about 1.5% of our growth, as compared to the 2.5-3% loss that I had estimated.” Berger holds about 20% of the local decorative paints market.

The hit will be felt the most by smaller players. InCred Equities said in a report that though Kansai Nerolac’s urban demand remains firm, it may feel the pinch as Birla Opus aggressively steps up its distribution reach and Berger invests in increasing its penetration in urban markets.

The battle has just begun, and it looks to be a long one. **BT**

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